directors beseeched the shareholders not to be discouraged by what it called ‘its initial losses’. They tried to assuage their fears stating that BI too had conceded that it was making heavy losses due to SSNCo’s competition. ‘There is a good deal yet to do’, but there was little cause for ‘depression or discouragement’. Appealing to patriotic sentiments, they argued that SSNCo was ‘the first great undertaking of its kind’, and grimly cautioned the public to ‘consider the disastrous consequences to all future national enterprise which its failure might cause’. On the other hand, ‘consider the effect which its success will produce’, it said, holding promise. Underlining the national importance of the company, it continued, ‘This was no longer a company of a merely local importance. Its progress has now come to be watched with an anxious interest from numerous places … it has become an all-India concern.’ But the appeal would not raise false hopes: ‘no profit can, as matters stand, be now predicted …’[28] Unsurprisingly, the report made no mention of the elephant in the room—the hostility of the government. Overall, it could be argued that the management had decided to soldier on by overcoming the difficulties by the infusion of fresh capital. The faction inclined to fight it out rather than surrender had won the day.

Meanwhile, the government was adopting devious ways to keep an eye on the company. It accessed the accounts and statements of the company even as preparations for the shareholders’ meeting were going on. If the meeting only took place on 3 July, P.B. Thomas, the superintendent of police in Tirunelveli had laid his hands on them two weeks earlier—by 18 June. How did this happen? Undercover methods were no doubt employed. (This apart, further figures came from the district collector; obtained for purposes of income tax, these were, therefore, ‘strictly confidential’.) In forwarding the accounts to the Chief Secretary J.N. Atkinson, the inspector general of police, D.W.G. Cowie remarked, ‘Seeing the source from which some of his figures have been obtained I have thought it best not to let it go into even the Special Branch office [i.e. the CID].’[29]

While forwarding the accounts, P.B. Thomas also provided his own motivated interpretation of the figures. Regarding the proposed issuance of 6 per cent debentures, he said it was unlikely that anyone would take them